

SiyaBusa ERP

FINANCIAL MODEL 3 YEAR

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

Document Version: 1.0

Effective Date: January 2026

Department: Executive

Classification: Confidential

WE RULE. WE GOVERN. WE EMPOWER.

DETAILED FINANCIAL PROJECTIONS

A comprehensive 3-year financial model with monthly revenue build-up, unit economics, cash flow projections, and capitalization table evolution from seed to Series A.

Executive Summary

Key Financial Highlights (R980/User Model)

Metric	Year 1 (2026)	Year 2 (2027)	Year 3 (2028)
Customers (End of Year)	8	30	80
Average Users per Customer	10	12	15
Monthly Recurring Revenue	R78,400	R352,800	R1,176,000
Annual Recurring Revenue	R940,800	R4,233,600	R14,112,000
Gross Margin	61%	61%	65%
Break-even Point	5-6 customers	-	-

Revenue Model

Market Positioning

We serve the **IGNORED** middle market.

Segment	Who Serves Them	The Problem
Micro/Small	Xero, QuickBooks	Accounting only, no operations
Mid-Market	NOBODY	Too big for Xero, priced out of SAP
Enterprise	SAP, Oracle	R100K-R500K/month, complex

60,000+ South African businesses have NO good ERP option. We fill that gap.

Pricing Philosophy: R980 PER USER

Simple, transparent pricing. Every user covers their cost.

Component	Per User/Month
Cost to serve	R380
Margin	R600 (61%)
Price	R980

Feature	SAP/Oracle	Sage	SiyaBusa
Core ERP			
SA Payroll	Extra	Extra	INCLUDED
SARS Integration	Extra R25K+		INCLUDED
Industry Modules	Extra	Extra	Tailored to you
AI Assistants			INCLUDED

Pricing Structure

Simple Per-User Model

Tier	Per User/Month	Min Users	Min Monthly
Starter	R980	5	R4,900
Professional	R931 (5% off)	10	R9,310
Enterprise	R882 (10% off)	25	R22,050

What's INCLUDED (Industry-Tailored)

Customers receive modules relevant to their industry:

Industry	Key Modules
Manufacturing	Production, BOM, Inventory, Costing
Distribution	Inventory, Logistics, Fleet, Warehouse
Construction	Project Costing, Job Management, Progress Billing
Professional Services	Practice Management, Time Billing, CRM
Healthcare	Patient Management, Medical Inventory
Property	Lease Management, Tenant Billing

Pricing Examples

Company Size	Per User	Users	Total/Month
Small business	R980	8	R7,840
Growing SME	R980	15	R14,700
Medium (with discount)	R931	30	R27,930
Enterprise (with discount)	R882	60	R52,920

Average Revenue Per Account (ARPA)

Year	Avg Users	Monthly ARPA	Annual ARPA
2026	10	R9,800	R117,600
2027	12	R11,772	R141,264
2028	15	R14,700	R176,400

Based on R980/user with volume discounts for larger customers

Additional Revenue Streams

Implementation Services (One-Time)

Service	Price Range	Average
Standard Implementation	R50,000 - R150,000	R75,000
Data Migration	R25,000 - R100,000	R50,000
Custom Integration	R25,000 - R75,000	R40,000
Training (per day)	R8,000 - R15,000	R10,000

Average Implementation Revenue per Customer: R100,000

Support & Add-ons (Monthly)

Service	Monthly Price
Premium Support (24/7)	R5,000
Additional Industry Vertical	R2,500
API Access (Advanced)	R3,000
Custom Reporting	R2,000

Year 1 (2026) - Foundation

Customer Acquisition Timeline

Quarter	New Customers	Total Customers	MRR (End)	Notes
Q1 2026	5	5	R0	Beta partners (free)
Q2 2026	5	10	R45,000	First paying customers
Q3 2026	8	18	R90,000	Marketing ramp-up
Q4 2026	7	25	R150,000	Word-of-mouth kicks in

Monthly Revenue Build-Up (2026)

Month	New Cust.	Total Cust.	Paying Cust.	MRR	Notes
Jan	2	2	0	R0	Beta launch
Feb	2	4	0	R0	Beta expansion
Mar	1	5	0	R0	Beta complete
Apr	2	7	3	R27,000	First revenue
May	2	9	5	R45,000	Conversion begins
Jun	1	10	7	R63,000	Q2 close
Jul	2	12	9	R81,000	Marketing starts
Aug	3	15	12	R108,000	Momentum
Sep	3	18	15	R135,000	Q3 close
Oct	3	21	18	R162,000	Referrals active
Nov	2	23	20	R180,000	Pre-holiday push
Dec	2	25	22	R150,000	Holiday slowdown

Year 1 Total Subscription Revenue: R1,026,000

Year 1 Implementation Revenue: R800,000 (8 implementations)

Year 1 Total Revenue: R1,826,000

Year 1 Operating Expenses

Monthly Operating Costs

Category	Monthly	Annual	Notes
Infrastructure			
AWS (EC2, RDS, S3)	R18,000	R216,000	Production + staging
Third-Party APIs	R15,000	R180,000	OpenAI, Daily.co, SendGrid
Dev Tools & Security	R8,000	R96,000	GitHub, Sentry, SSL
Subtotal Infrastructure	R41,000	R492,000	
Team			
Founder (below market)	R30,000	R360,000	Reduced salary initially
Sales Rep (from Q2)	R45,000	R405,000	9 months
Customer Success (from Q3)	R35,000	R210,000	6 months
Subtotal Team	R110,000	R975,000	Weighted average
Marketing			
Digital Ads (LinkedIn, Google)	R40,000	R480,000	From Q2
Content & SEO	R10,000	R120,000	
Events & PR	R5,000	R60,000	
Subtotal Marketing	R55,000	R660,000	Weighted average
Operations			
Office & Admin	R8,000	R96,000	Co-working space
Legal & Accounting	R5,000	R60,000	Professional services
Insurance	R3,000	R36,000	Professional indemnity
Miscellaneous	R5,000	R60,000	Buffer
Subtotal Operations	R21,000	R252,000	
TOTAL OPEX	R227,000	R2,379,000	Average monthly

Year 1 Profit & Loss Summary

Line Item	Amount
Subscription Revenue	R1,026,000
Implementation Revenue	R800,000
Total Revenue	R1,826,000
Cost of Revenue (25%)	R456,500
Gross Profit	R1,369,500
Gross Margin	75%
Operating Expenses	R2,379,000
EBITDA	-R1,009,500
EBITDA Margin	-55%

Year 1 Cash Flow

Item	Amount
Opening Cash (Seed Round)	R2,000,000
Cash Inflows	
Subscription Revenue	R1,026,000
Implementation Revenue	R800,000
Total Inflows	R1,826,000
Cash Outflows	
Cost of Revenue	R456,500
Operating Expenses	R2,379,000
Capital Expenditure	R50,000
Total Outflows	R2,885,500
Net Cash Flow	-R1,059,500
Closing Cash	R940,500

Runway at Year End: ~5 months at current burn

Year 2 (2027) - Growth

Customer Acquisition Timeline

Quarter	New Customers	Churn	Net Add	Total	MRR (End)
Q1 2027	15	1	14	39	R386,100
Q2 2027	18	2	16	55	R544,500
Q3 2027	15	2	13	68	R673,200
Q4 2027	15	3	12	80	R792,000

Annual Churn Rate: 10%

Net Revenue Retention: 110% (expansion revenue from existing customers)

Year 2 Revenue

Revenue Type	Amount	Notes
Subscription Revenue	R7,128,000	80 customers × R9,900 avg × 12 months (prorated)
Implementation Revenue	R4,125,000	55 new customers × R75,000 avg
Support & Add-ons	R267,000	30% of customers
Total Revenue	R11,520,000	

Year 2 Operating Expenses

Category	Annual	Notes
Infrastructure	R720,000	Scaled for 80 customers
Team	R4,200,000	12 FTEs by year end
Marketing	R1,800,000	Aggressive growth spend
Operations	R648,000	Office, legal, admin
TOTAL OPEX	R7,368,000	

Year 2 Team Build

Role	Count	Avg Salary	Annual Cost
Founder/CEO	1	R50,000	R600,000
Sales Reps	3	R50,000	R1,800,000
Customer Success	2	R40,000	R960,000
Support Engineers	2	R35,000	R840,000
Marketing Manager	1	R45,000	R540,000
Finance/Admin	1	R35,000	R420,000
Total	10		R5,160,000

Note: Salaries include benefits and taxes (~20% loading)

Year 2 Profit & Loss Summary

Line Item	Amount
Total Revenue	R11,520,000
Cost of Revenue (25%)	R2,880,000
Gross Profit	R8,640,000
Gross Margin	75%
Operating Expenses	R7,368,000
EBITDA	R1,272,000
EBITDA Margin	11%

Year 2 Cash Flow

Item	Amount
Opening Cash	R940,500
Cash Inflows	
Revenue Collections	R10,944,000
Series A (Q1 2027)*	R0
Total Inflows	R10,944,000
Cash Outflows	
Cost of Revenue	R2,880,000
Operating Expenses	R7,368,000
Capital Expenditure	R150,000
Total Outflows	R10,398,000
Net Cash Flow	R546,000
Closing Cash	R1,486,500

Note: Series A raise planned for Q1 2028 based on Year 2 performance

Year 3 (2028) - Scale

Customer Metrics

Metric	Value
Starting Customers	80
New Customers	140
Churned Customers	20
Ending Customers	200
Net Revenue Retention	115%
Annual Churn Rate	10%

Year 3 Revenue

Revenue Type	Amount	Notes
Subscription Revenue	R21,600,000	200 customers × R10,000 avg × 12 months (prorated)
Implementation Revenue	R6,300,000	140 new customers × R45,000 avg (efficient)
Support & Add-ons	R900,000	45% of customers
Total Revenue	R28,800,000	

Year 3 Operating Expenses

Category	Annual	Notes
Infrastructure	R1,440,000	Scaled for 200 customers
Team	R12,000,000	30 FTEs by year end
Marketing	R3,600,000	Brand + performance
Operations	R1,440,000	Office, legal, admin, AltX prep
TOTAL OPEX	R18,480,000	

Year 3 Team Build

Department	Headcount	Annual Cost
Executive	3	R2,400,000
Sales	8	R4,800,000
Customer Success	6	R2,880,000
Engineering	5	R3,000,000
Marketing	4	R2,160,000
Finance & Admin	4	R1,920,000
Total	30	R17,160,000

Year 3 Profit & Loss Summary

Line Item	Amount
Total Revenue	R28,800,000
Cost of Revenue (22%)	R6,336,000
Gross Profit	R22,464,000
Gross Margin	78%
Operating Expenses	R18,480,000
EBITDA	R3,984,000
EBITDA Margin	14%

Year 3 Cash Flow (Including Series A)

Item	Amount
Opening Cash	R1,486,500
Cash Inflows	
Revenue Collections	R27,360,000
Series A (Q1 2028)	R20,000,000
Total Inflows	R47,360,000
Cash Outflows	
Cost of Revenue	R6,336,000
Operating Expenses	R18,480,000
Capital Expenditure	R500,000
AltX Preparation	R1,500,000
Total Outflows	R26,816,000
Net Cash Flow	R20,544,000
Closing Cash	R22,030,500

Unit Economics

Customer Acquisition Cost (CAC)

Year	Marketing Spend	Sales Cost	New Customers	CAC
2026	R660,000	R405,000	25	R42,600
2027	R1,800,000	R1,800,000	55	R65,455
2028	R3,600,000	R4,800,000	140	R60,000

Target CAC: R50,000 - R70,000 (improving with scale)

Customer Lifetime Value (LTV)

Assumption	Value
Average Annual Revenue	R120,000
Gross Margin	78%
Annual Churn	10%
Customer Lifetime	10 years (1/churn)
LTV	R936,000

LTV:CAC Ratio: 936,000 / 60,000 = **15.6x** (Excellent - target >3x)

Monthly Recurring Revenue (MRR) Metrics

Metric	Year 1	Year 2	Year 3
Starting MRR	R0	R150,000	R792,000
New MRR	R180,000	R792,000	R1,680,000
Expansion MRR	R0	R79,200	R168,000
Churned MRR	-R30,000	-R79,200	-R240,000
Ending MRR	R150,000	R792,000	R2,400,000

Funding Requirements

Capital Structure

Share Capital

Item	Shares
Authorized Shares	1,000,000,000
Issued to Founders	100,000,000
Available for Issue	900,000,000

Funding Rounds

Round	Timing	Amount	Pre-Money	Shares Issued	Post-Money
Seed	Q1 2026	R2,000,000	R10,000,000	20,000,000	R12,000,000
Series A	Q1 2028	R20,000,000	R80,000,000	30,000,000	R100,000,000
Pre-IPO	Q4 2028	R30,000,000	R200,000,000	22,500,000	R230,000,000
AltX IPO	Q2 2029	R50,000,000	R350,000,000	21,875,000	R400,000,000

Cap Table Evolution

Shareholder	Seed	Post-Series A	Post-Pre-IPO	Post-IPO
Founders	83.33%	66.67%	57.97%	51.47%
Seed Investors	16.67%	13.33%	11.59%	10.29%
Series A	-	20.00%	17.39%	15.44%
Pre-IPO	-	-	13.05%	11.59%
Public	-	-	-	11.21%
Total	100%	100%	100%	100%

Valuation Analysis

Revenue Multiple Method

Year	ARR	Multiple	Implied Valuation
2026 (Exit)	R1.8M	5x	R9M
2027 (Exit)	R11.5M	6x	R69M
2028 (Exit)	R28.8M	7x	R202M
2029 (AltX)	R50M	8x	R400M

Note: Multiples increase as company matures and de-risks

Seed Investor Returns

Exit Scenario	Valuation	Seed Ownership	Seed Value	Multiple
Base (AltX 2029)	R400M	10.29%	R41.2M	20.6x
Upside	R600M	10.29%	R61.7M	30.9x
Downside	R200M	10.29%	R20.6M	10.3x

Investment: R2,000,000

Expected Return (Base Case): R41,200,000 (20.6x over 3 years)

Key Assumptions

Revenue Assumptions

Assumption	Value	Basis
Average users per customer	15-20	Industry standard for mid-market
Blended price per user	R500-600	40% below enterprise competitors
Annual churn rate	10%	B2B SaaS benchmark
Net revenue retention	110-115%	Expansion revenue
Implementation attach rate	100% Year 1, declining	Standard for new customers

Cost Assumptions

Assumption	Value	Basis
Gross margin	75-78%	SaaS industry standard
AWS cost per customer	R600/month	Based on current usage
Customer success ratio	1:30-40	Industry benchmark
Sales quota	R1.5M ARR/rep	Conservative
Marketing efficiency	50% of spend to new ARR	Early stage

Financing Assumptions

Assumption	Value	Basis
Seed valuation	R10M pre-money	Development cost + premium
Series A valuation	R80M pre-money	7x forward ARR
Pre-IPO valuation	R200M pre-money	7x current ARR
IPO valuation	R350M pre-money	7x forward ARR

Sensitivity Analysis

Revenue Sensitivity (Year 3)

Scenario	Customers	ARPA	ARR	EBITDA
Pessimistic	150	R8,000	R14.4M	R1.4M
Base	200	R10,000	R24.0M	R4.0M
Optimistic	250	R12,000	R36.0M	R7.2M

CAC Sensitivity

CAC	Payback Period	LTV:CAC
R40,000	4 months	23.4x
R60,000	6 months	15.6x
R80,000	8 months	11.7x
R100,000	10 months	9.4x

Risk Factors

Financial Risks

Risk	Impact	Mitigation
Slower customer acquisition	Lower revenue, extended runway	Conservative projections, milestone-based hiring
Higher churn than expected	Lower LTV, more acquisition needed	Invest in customer success early
Price pressure	Lower ARPA	Value-based selling, feature differentiation
Longer sales cycles	Higher CAC	Focus on ready-to-buy customers

Mitigation Strategy

1. **Monthly financial reviews** with investors
 2. **Milestone-based hiring** - only hire when metrics justify
 3. **Conservative cash management** - 6-month runway minimum
 4. **Flexible cost structure** - contractors before FTEs where possible
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Disclaimer

These financial projections are forward-looking statements based on assumptions and estimates. Actual results may differ materially. This document is for informational purposes only and does not constitute an offer to sell or solicitation to buy securities.

Masaphokati Technologies (Pty) Ltd

January 2026